

Interview Feedback

Brew & Bean Profitability · 2026-10-03 · Overall: strong

Top improvement

Tighten the opening. Instead of a generic fixed-versus-variable split, state a hypothesis (revenue grew but margin fell, so unit costs likely outran price). Then lay out 3–4 tailored buckets: COGS by input versus menu price, store labor and occupancy, and market context and pricing power. Say where you'd start and why, so your strong analysis is anchored from the first minute rather than rebuilt after interviewer prompting.

Rubric Scores

Problem Structuring

adequate

What went well

The candidate opened by playing back the situation and anchored on a profit equals revenue minus cost split, which is a recognizable and relevant starting frame.

“Brew & Bean, 200 stores, revenue grow 15 percent, but net margin fall from 24 to 6.”

“My approach, I want to split profit into revenue and cost.”

What needs work

The opening cost split was a generic fixed-versus-variable template rather than a coffee-chain-specific breakdown, and it took interviewer prompting to fix. Once the interviewer challenged MECE-ness, the candidate rebuilt it into a functional split (COGS, store-level operating cost, corporate overhead) and added mix on the revenue side, which made the frame more useful.

“On cost side, I split fixed and variable. Variable — coffee beans, milk, cups, labor if hourly. Fixed — rent, salary, marketing, corporate.”

“my fixed and variable split is by behavior, but it is maybe more useful to split by function: cost of goods sold, store-level operating cost like labor and rent and utility, then corporate overhead.”

“Also on revenue I only said price and volume, but I should add mix”

The candidate's first instinct was to start on revenue with no stated hypothesis, even though margin falling while revenue grew already pointed to costs outrunning price. The cost-side hypothesis came only after the interviewer's math prompt.

“Can I start with the revenue side, to understand where growth come from?”

“So I think the problem is mostly cost side.”

The structure was not tied to the CEO's decision of how to reverse the decline. The opening had no pricing-power or competitive-context branch (for example, whether peers face the same squeeze).

“My approach, I want to split profit into revenue and cost.”

Missed opportunities

Turn 1, right after hearing that revenue grew 15% while margin fell from 24% to 6%.

A great answer: “The goal is to find why margin fell 18 points despite growth and how to restore it. Since revenue grew, my hypothesis is that unit costs outran price. I'd look at three areas. First, unit economics: COGS by input (beans, dairy, packaging, food) against menu price. Second, store operating costs: labor and occupancy. Third, market context: are peers seeing the same squeeze, and do we have pricing power? I'd start with COGS versus price, because that's where an 18-point swing most likely lives.”

Quantitative & Analytical Rigor

strong

What went well

The candidate stated assumptions and set up the price-sizing equation before solving it, and solved it correctly: about 24% to restore a 24% margin and about 10.6% to reach a 15% margin.

“Assumptions: volume stays same, labor and overhead stay same in dollars, COGS in dollars does not change because units are same.”

“If I raise price by x, revenue is 100 times (1+x), cost stays 94.”

The candidate tested whether the input inflation figures fully explained the COGS move. The tie-out (10.5 to 14.7 for beans, 31.5 to about 43.3 for other inputs, summing to 58) is correct and was used as an explicit check.

“Beans 25 percent of 42 is 10.5 points of revenue. Up 40 percent, that is 14.7.”

“Sum is 58.0. That matches exactly the current COGS.”

The candidate added a correct volume-breakeven test (contribution of 0.42 versus 0.526 gives about 20% volume cushion) and translated the result into a business implication.

“So I can lose about 20 percent of volume before I am worse off. That is a decent cushion.”

“That is big — I think too big to do at one time.”

What needs work

The 5% procurement saving was asserted rather than derived from any benchmark, yet it carries about \$14M of the final plan.

“even 5 percent saving is almost 14 million”

The candidate sized the price move to a 15% margin but then judged success against absolute profit lost (about \$70M). The plan was never restated as a resulting margin: roughly \$94M on about \$531M is about 18%, not 24%. Restoring 24% on today's \$480M base is an approximately \$86M gap. Keep one consistent target.

“So they lost roughly 70 million of annual profit. That is the size of the prize.”

“Together that gets most of the 70 back.”

Missed opportunities

Turn 17, after computing about \$29M current profit and \$100M prior profit.

A great answer: “One note on the target: restoring a 24% margin on today's \$480M means about \$115M of profit, roughly an \$86M gap. A 10.6% price rise plus 5% procurement savings gets us to about \$94M, around 18% margin. That recovers prior absolute profit but not the full margin, so we'd need either about 2 more points of price or broader input savings to close it.”

Data & Exhibit Interpretation

strong

What went well

The candidate read every cost line systematically and isolated COGS as the driver, quantifying it as 16 of the 18 points lost.

“Labor is flat, 22 percent all three years. Overhead moves 12 to 14, so plus two points”

“But COGS goes 42, 50, 58. That is plus 16 points, and the total profit decline is 18 points.”

The candidate drew the key implication that a rising COGS ratio can come from input cost or from flat pricing, and proposed exactly the right next data.

“Either the input cost per cup is rising, or the price they charge is not rising.”

“So — do we have the menu price history? Have they raised prices in these two years?”

The candidate did not stop at the bean spike and tested beans and other inputs together against the full COGS move.

However, the candidate never said explicitly what that math showed: beans added only about 4.2 points versus about 11.8 from dairy, packaging, and food. That insight should have shaped the procurement levers.

“The other 75 percent is 31.5 points, up 37.5 percent, that is 31.5 times 1.375 — about 43.3.”

“So the whole COGS increase is explained by input inflation, blended around 38 percent.”

Missed opportunities

Turn 9, right after the COGS tie-out.

A great answer: “Notably, beans only add about 4.2 of the 16 points. The other 11.8 come from dairy, packaging, and food. So any procurement fix has to cover all inputs, not just coffee.”

Business Judgment & Insight

adequate

The candidate requested procurement contract details (turn 15) and item-level margins (turn 13), and neither was provided, so assumptions about the purchasing mechanism and item mix are not scored as failings.

What went well

The candidate correctly diagnosed a pricing problem rather than an operations problem, and explicitly protected lean labor.

“Labor flat at 22 percent I would not touch — it is already controlled, and cutting it hurts service exactly when price is rising.”

“So this is not an operations problem, it is a pricing problem.”

What needs work

The procurement levers and next steps centered on beans, even though the candidate's own math showed dairy, packaging, and food driving about three-quarters of the COGS increase.

“They could do forward contracts or hedging, lock price for twelve, eighteen months. Also direct sourcing from farms”

“audit the bean contracts”

The candidate showed realistic commercial sense on price magnitude and elasticity and proposed a phased approach and a pilot as mitigation. However, the candidate named competitive response as a risk without asking whether peers had raised prices or how much pricing power a specialty brand has before recommending 10–12%.

“Also competitor response, and brand perception in a specialty segment.”

"That is big — I think too big to do at one time."

"pilot the price rise in twenty stores for eight weeks to measure real elasticity"

Missed opportunities

Turn 13, when building the procurement bucket.

A great answer: "Since dairy, packaging, and food are about 75% of COGS and up 37.5%, I'd renegotiate dairy and packaging contracts and consider packaging spec changes alongside multi-year bean contracts. Beans alone are only about 4 of the 16 points."

Creativity & Brainstorming

adequate

Item-level margin data was requested but refused, so the mix lever could not be sized; this is not held against the candidate.

What went well

The candidate organized the brainstorm into three explicit buckets (input cost, mix/portion, demand protection).

"Few other levers, I group in three."

The ideas were varied and included some non-obvious ones, such as portion and cup engineering to reduce dairy, and using the items-per-visit growth to support bundling.

"push drinks with less dairy, or smaller milk portion, cup size engineering"

"the ticket already grew 10 percent on items per visit, so the customer is willing. So bundling, upsell, loyalty program"

What needs work

The ideas within and across buckets were not ranked by impact or feasibility. Only the procurement lever was sized, and labor was set aside, but there was no explicit priority order.

"even 5 percent saving is almost 14 million"

Missed opportunities

Turn 13, closing the brainstorm.

A great answer: "If I rank these: procurement across all inputs is the biggest and fastest, worth \$14M or more. Mix and portion engineering is second, because it is low risk. Bundling is mainly a defense to protect volume during the price rise."

Synthesis & Recommendation

strong

What went well

The recommendation was answer-first and committed.

"My recommendation: Brew & Bean should raise menu prices, phased, roughly 10 to 12 percent over twelve months, and at the same time fix procurement. That is the answer."

The reasons were tightly tied to the analysis, and the recommendation was sized in dollars (\$65M of levers against a \$70M loss). However, the synthesis never stated the resulting margin, so the CEO would not hear that the plan reaches roughly 18% rather than the prior 24%.

"The decline is almost entirely one line — COGS went 42 to 58 percent of revenue, and that is 16 of the 18 points lost."

"And the COGS increase is fully explained by input inflation, blended 38 percent, while menu price moved zero."

"A 10.6 percent price rise is about 51 million, and 5 percent procurement saving is about 14 million."

The candidate named risks with evidence and gave concrete next steps.

"Volume — but breakeven is roughly 20 percent volume loss, and ticket already grew 10 percent on items, so demand looks healthy."

"Next steps: pilot the price rise in twenty stores for eight weeks to measure real elasticity, audit the bean contracts, and get item-level margin so we price selectively, not flat across the menu."

Missed opportunities

Turn 19, sizing statement.

A great answer: "Together these take profit from about \$29M to about \$94M, roughly 18% margin. Closing the rest of the gap to 24% depends on the pilot showing room for a bit more price on specialty items."

Communication & Delivery

adequate

What went well

The candidate listened and built on interviewer cues, immediately using the flat store count to rule out new-store drag.

"And — this is useful, because same 200 stores. So the growth is not from new stores."

What needs work

Signposting was clear in the analysis and brainstorm turns, and conclusions were crisp once stated. However, several turns were bottom-up, with the math first and the takeaway arriving at the end instead of leading.

| "Let me check if it ties. Beans 25 percent of 42 is 10.5 points of revenue."

| "Few other levers, I group in three."

| "So root cause: pricing has not followed cost."

The opening gave no hypothesis to frame the listener, and there were moments of hesitation.

| "Can I start with the revenue side, to understand where growth come from?"

| "Hmm, let me think."

Missed opportunities

Turn 9, after receiving the input cost and menu price data.

A great answer: "Headline: the full COGS increase is input inflation of about 38%, with zero price pass-through. Let me show the tie-out: beans go from 10.5 to 14.7 points, other inputs from 31.5 to 43.3, total 58."

Pushback, Composure & Case Leadership

strong

What went well

On the MECE challenge, the candidate acknowledged the gap specifically and updated with reasons, defending what was MECE and fixing what was not.

| "Revenue and cost is MECE, yes, that part is fine — profit is revenue minus cost, nothing else."

| "But inside cost, I think I was... too narrow."

The candidate stated the bean-buying mechanism as fact before any data supported it, which invited the spot-buying challenge. Once challenged, the candidate held the verified \$278M figure, retracted the weak inference with clear logic, and proposed a concrete test. Next time, flag inferences as hypotheses up front.

| "Yes, that one I am comfortable with."

| "So the correct statement is: they have no effective protection against input price moves."

| "They buy beans at spot, apparently — so they take full 40 percent."

The candidate drove the case forward proactively by asking for the right data and proposing the sizing step.

| "Can I size what price increase would be needed to restore margin?"

| "Can we see the cost breakdown as percent of revenue, two years ago versus today?"

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

How would you like to approach this? Feel free to take a moment to gather your thoughts first.

Candidate · 1:55

Okay. So — let me repeat back first, to be sure I understand. Brew & Bean, 200 stores, revenue grow 15 percent, but net margin fall from 24 to 6. So profit is... actually much lower in absolute, not only margin. Because revenue up 15 but margin down four times — so profit maybe one-third of before.

My approach, I want to split profit into revenue and cost. On revenue side — I want to know, is the 15 percent growth from more stores, or more customers per store, or higher price? Because if they open many new stores, new stores maybe not mature yet, and that drag the margin.

On cost side, I split fixed and variable. Variable — coffee beans, milk, cups, labor if hourly. Fixed — rent, salary, marketing, corporate.

Can I start with the revenue side, to understand where growth come from?

Interviewer · 1:57

Before I answer that, you said profit is maybe one-third of before. Walk me through that. To your question on the data: 200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed. I'll come to that data shortly.

Candidate · 3:28

Yes, let me show the math. Say revenue two years ago is 100. Profit is 24 percent, so 24.

Now revenue is 115, because 15 percent growth. Margin 6 percent, so profit is 115 times 0.06 — that is 6.9.

So 6.9 divided by 24 is... about 0.29. So yes, roughly 29 percent, so slightly less than one-third of before. Profit fall around 70 percent.

And — this is useful, because same 200 stores. So the growth is not from new stores. It must come from price, or from volume per store, or mix — maybe they sell more food, more expensive drinks.

So if revenue per store go up 15 percent but profit collapse, the cost is growing much faster than revenue. In absolute: cost before is 76, now cost is 115 minus 6.9, so 108.1. That is 42 percent increase in cost, against 15 percent in revenue. So I think the problem is mostly cost side.

Interviewer · 3:30

Okay. Your framework has revenue and cost, with fixed and variable inside cost. Is that MECE, and what's missing?

Candidate · 5:15

Hmm, let me think. Revenue and cost is MECE, yes, that part is fine — profit is revenue minus cost, nothing else.

But inside cost, I think I was... too narrow. Two things missing. First, I say net profit margin, but net is after interest, tax, depreciation. So maybe cost of operations did not move so much, and instead they take debt, interest expense up, or a one-time write-off. So I should separate operating cost from non-operating — interest, tax, impairment.

Second — sorry, how to say — my fixed and variable split is by behavior, but it is maybe more useful to split by function: cost of goods sold, store-level operating cost like labor and rent and utility, then corporate overhead. Because the client can act on these differently.

Also on revenue I only said price and volume, but I should add mix, because mix change can move the margin without moving revenue much.

Can we see the cost breakdown as percent of revenue, two years ago versus today?

Interviewer · 5:17

I'll advance and show it.

[Exhibit shown: Brew & Bean Cost Structure Over Time]

Candidate · 7:09

Okay, the picture is quite clear. Labor is flat, 22 percent all three years. Overhead moves 12 to 14, so plus two points — small, maybe inflation on rent. But COGS goes 42, 50, 58. That is plus 16 points, and the total profit decline is 18 points. So COGS explain almost ninety percent of the problem.

And it is steady, every year plus 8 points. Not one shock.

Now, important — COGS as percent of revenue going up can happen two ways. Either the input cost per cup is rising, or the price they charge is not rising. If they hold menu price flat while bean price goes up, the ratio moves exactly like this.

So — do we have the menu price history? Have they raised prices in these two years? And also, do we know the split inside COGS — how much is coffee beans versus milk versus cups and food?

Interviewer · 7:12

Okay. Menu prices have not changed in two years. Coffee beans were 25% of COGS two years ago. Raw coffee bean costs are up 40% over the past two years. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years. The average transaction is \$6.80, up from \$6.20 two years ago — about a 10% increase, because customers are buying more items per visit. Average revenue per store is \$2.4M a year.

Candidate · 9:03

Let me check if it ties. Beans 25 percent of 42 is 10.5 points of revenue. Up 40 percent, that is 14.7. The other 75 percent is 31.5 points, up 37.5 percent, that is 31.5 times 1.375 — about 43.3. Sum is 58.0. That matches exactly the current COGS.

So the whole COGS increase is explained by input inflation, blended around 38 percent. Nothing suspicious like waste or theft or bad procurement — just prices of input.

And the second half: menu price flat, zero percent, in two years. So they absorbed 38 percent input inflation with zero price action. The revenue grew 15 percent only because the ticket grew 10 percent from more items — which actually makes it worse, because more items means more COGS too, no price margin.

So root cause: pricing has not followed cost. Can I size what price increase would be needed to restore margin?

Interviewer · 9:06

Yes, go ahead and size it. Walk me through your approach, and state any assumptions you make.

Candidate · 10:36

Assumptions: volume stays same, labor and overhead stay same in dollars, COGS in dollars does not change because units are same. Base 100 of revenue.

Today: COGS 58, labor 22, overhead 14 — total cost 94, profit 6.

If I raise price by x , revenue is 100 times $(1+x)$, cost stays 94. For 24 percent margin:

$$100(1+x) - 94 = 24(1+x)$$

$$76(1+x) = 94$$

$$1+x = 1.237.$$

So about 24 percent price increase. On ticket, 6.80 times 1.237 is about 8.41. That is big — I think too big to do at one time.

More realistic target, say back to 15 percent margin: $85(1+x) = 94$, so $1+x = 1.106$, about 10.6 percent. Ticket goes 6.80 to about 7.52, roughly 70 cents.

Risk is elasticity. Breakeven on volume: at plus 10.6 percent price, contribution per unit goes from 0.42 to 0.526 of old revenue — so I can lose about 20 percent of volume before I am worse off. That is a decent cushion.

Interviewer · 10:39

Understood. Beyond pricing, what else could the client do to restore margin?

Candidate · 12:30

Few other levers, I group in three.

First, cost of input itself. They buy beans at spot, apparently — so they take full 40 percent. They could do forward contracts or hedging, lock price for twelve, eighteen months. Also direct sourcing from farms, or consolidate suppliers for volume discount. At 200 stores times 2.4 million, that is 480 million revenue, so 278 million of COGS — even 5 percent saving is almost 14 million.

Second, mix and portion. Not all items inflate same. Dairy is up a lot — so push drinks with less dairy, or smaller milk portion, cup size engineering. And push high-margin items, food or pastry, if margin there is better. Honestly I would like to see margin by item, we don't have it.

Third — the ticket already grew 10 percent on items per visit, so the customer is willing. So bundling, upsell, loyalty program to protect volume when price goes up.

Labor flat at 22 percent I would not touch — it is already controlled, and cutting it hurts service exactly when price is rising.

Interviewer · 12:32

Walk me through the figure you gave for COGS in dollars. You said they buy beans at spot, which is an assumption. How do you know that, and does the data support it?

Candidate · 14:02

The dollar figure: 200 stores times 2.4 million per store is 480 million revenue. COGS is 58 percent of that, so 0.58 times 480 — 0.58 times 48 is 27.8 — so 278 million. Yes, that one I am comfortable with.

The spot purchasing, you are right, I should not have said it like a fact. I inferred it, but the inference is weak. What the data actually shows is only that their realized input cost rose 40 percent, roughly in line with the market move. That is consistent with spot buying, but it is also consistent with a contract that expired, or an annual repricing with the supplier, or a hedge that covered only part of the volume.

So the correct statement is: they have no effective protection against input price moves. Whether the mechanism is spot or a weak contract, I don't know. To test it I would ask for procurement contracts — length, volume committed, repricing terms — and compare their realized bean cost per pound against the market index.

Interviewer · 14:04

I'm giving you the total revenue figure so you can check your 480 million against it. Total revenue is \$480M a year.

Candidate · 15:35

Good, that ties — 200 times 2.4 million is 480 million, same number. So the dollar sizing holds.

So then the picture in dollars: COGS 278 million, labor 22 percent is 106 million, overhead 14 percent is 67 million, profit 6 percent is about 29 million. Two years ago, revenue would be 480 divided by 1.15 — about 417 million — and profit 24 percent of that is 100 million. So they lost roughly 70 million of annual profit. That is the size of the prize.

And my 10.6 percent price move — that is about 51 million of extra revenue, falling almost all to the bottom line if volume holds, so profit goes from 29 to maybe 80 million. Procurement savings of 5 percent on COGS add another 14. Together that gets most of the 70 back.

Interviewer · 15:37

Understood. What's your recommendation to the CEO?

Candidate · 17:23

My recommendation: Brew & Bean should raise menu prices, phased, roughly 10 to 12 percent over twelve months, and at the same time fix procurement. That is the answer.

Why. The decline is almost entirely one line — COGS went 42 to 58 percent of revenue, and that is 16 of the 18 points lost. Labor is flat at 22, overhead moved only two points. And the COGS increase is fully explained by input inflation, blended 38 percent, while menu price moved zero. So this is not an operations problem, it is a pricing problem.

Size: about 70 million of annual profit lost. A 10.6 percent price rise is about 51 million, and 5 percent procurement saving is about 14 million.

Risks. Volume — but breakeven is roughly 20 percent volume loss, and ticket already grew 10 percent on items, so demand looks healthy. Also competitor response, and brand perception in a specialty segment.

Next steps: pilot the price rise in twenty stores for eight weeks to measure real elasticity, audit the bean contracts, and get item-level margin so we price selectively, not flat across the menu.

Interviewer · 17:24

That's our time. Thanks for working through this with me — your written report will follow.